

XYZ Manufacturing Ltd.

Quarterly Financial Report — Q3 FY26

Quarter ended December 31, 2025

Registered Office: 12 Industrial Estate, Pune, Maharashtra 411018

Listed on NSE and BSE (fictitious ticker: XYZMFG) | CIN L29999PN1995PLC000000

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Basis of preparation: These condensed financials are unaudited and prepared under Indian Accounting Standards. Amounts are in ₹ crore unless stated otherwise.

FICTITIOUS SAMPLE REPORT prepared for the FinSight X prototype evaluation. XYZ Manufacturing Ltd. is not a real company and all figures are illustrative.

1. Management Discussion & Analysis

Demand environment remains healthy and we continue to see strong order inflows across segments. The quarter saw continued ramp-up of export volumes and firm domestic demand for precision components. Capacity utilisation improved to 86%. The Board reviewed the funding plan for Phase II and the company continues to evaluate a mix of internal accruals and term financing for the balance capital expenditure.

“Liquidity remains strong, with comfortable cash buffers to fund our growth plans.”

“We remain confident of margin recovery in the second half as input prices moderate.”

Key risks include commodity price volatility, customer concentration, execution risks in the Phase II expansion, and refinancing of term loans maturing in FY27.

Risk update

Commodity prices (specialty steel, aluminium alloys) remain elevated relative to prior year. The company has partially hedged next-quarter requirements. Export customers contributed 34% of revenue; the top five customers together contributed 41% of revenue.

2. Operational Highlights

Production volumes grew 8.9% quarter-on-quarter. The Phase II capacity expansion programme (₹480 crore) progressed on schedule; commissioning of the Chennai line-2 is expected in Q4 FY26.

“Our working capital discipline continues to improve, supported by better receivables management.”

Headcount stood at 4,812. Employee cost for the quarter was ₹129 crore. Manpower productivity improved 4% year-on-year on the back of automation initiatives.

Segment performance

Automotive components	52% of revenue	growth 10% YoY
Industrial machinery	31% of revenue	growth 15% YoY
Exports & others	17% of revenue	growth 9% YoY

Customer concentration remains a monitored risk; the top five customers contribute 41% of revenue.

3. Statement of Profit & Loss

Revenue from operations for the quarter ended December 31, 2025 stood at ₹1,394 crore, up 12.1% year-on-year (Q2 FY26: ₹1,312 crore; Q1 FY26: ₹1,245 crore).

EBITDA margin declined to 15.9% (Q1 FY26: 19.9%) primarily on account of higher raw material costs, which rose to 58.3% of revenue (Q1 FY26: 52.4%).

Finance costs for the quarter were ₹41 crore (Q1 FY26: ₹28 crore), reflecting higher average borrowings and effective interest rates.

Net profit for the quarter declined to ₹109 crore (Q1 FY26: ₹142 crore), impacted by higher finance costs and margin compression.

₹ crore	Q1 FY26	Q2 FY26	Q3 FY26
Revenue from operations	1,245	1,312	1,394
Other income	12	11	9.0
Raw material cost (% sales)	52	55	58
Employee benefits expense	118	124	129
EBITDA	248	236	221
EBITDA margin (%)	20	18	16
Depreciation & amortisation	62	68	74
Finance costs	28	34	41
Profit before tax	170	145	115
Tax expense	28	17	6.0
Net profit	142	128	109
Net margin (%)	11	9.8	7.8

Other operating expenses are presented net of capitalisation. Figures may not add up due to rounding.

4. Balance Sheet (condensed)

Total borrowings (short-term and long-term) increased to ₹560 crore as at December 31, 2025 (₹470 crore as at September 30, 2025 and ₹400 crore as at June 30, 2025). Short-term borrowings were ₹215 crore (June 30, 2025: ₹120 crore). Cash and cash equivalents stood at ₹98 crore (June 30, 2025: ₹186 crore).

Current liabilities increased to ₹641 crore (June 30, 2025: ₹486 crore), reflecting higher short-term borrowings and creditor dues. Trade receivables were ₹402 crore (Q1 FY26: ₹312 crore) and inventories ₹318 crore (Q1 FY26: ₹245 crore).

₹ crore	Q1 FY26	Q2 FY26	Q3 FY26
Cash and cash equivalents	186	142	98
Trade receivables	312	356	402
Inventories	245	281	318
Current assets (A)	690	705	718
Current liabilities (B)	486	551	641
Current ratio (A/B)	1.4	1.3	1.1
Short-term borrowings	120	165	215
Long-term borrowings	280	305	345
Total borrowings	400	470	560
Net debt	214	328	462
Debt / equity (x)	0.3	0.4	0.4
Net worth (equity)	1,280	1,305	1,322

Receivable days were 27 (Q1 FY26: 23) and inventory days 69 (Q1 FY26: 58).

5. Cash Flow Statement (condensed)

Net cash generated from operating activities was ₹42 crore for the quarter (Q2 FY26: ₹58 crore; Q1 FY26: ₹72 crore).
Net cash used in investing activities was ₹225 crore, primarily capital expenditure.

₹ crore	Q1 FY26	Q2 FY26	Q3 FY26

Operating cash flow	72	58	42
Investing cash flow	-95	-160	-225
Financing cash flow	26	48	122
Capital expenditure	95	160	225
Net change in cash	3.0	-54	-61

Interest coverage (EBITDA / finance cost) for the quarter was 5.4x (Q1 FY26: 8.9x). Debt / EBITDA (annualised) stood at 0.63x.

6. Notes to the Accounts

Capital expenditure of ₹225 crore was incurred during the quarter towards the Phase II capacity expansion (cumulative programme: ₹480 crore).
Term loans aggregating ₹180 crore mature in FY27 and are proposed to be refinanced. The company is in discussion with lenders; sanction is expected in Q1 FY27.

Debt maturity profile

Within 1 year	₹	215 Cr
1 - 3 years	₹	190 Cr
Beyond 3 years	₹	155 Cr

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